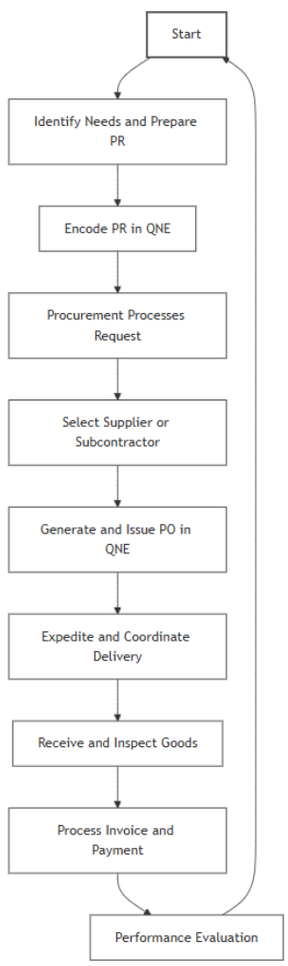
OBJECTIVE	This procedure outlines the process for procuring materials, equipment, and services for BHBI projects. The aim is to ensure that all purchases are made in a timely, cost-effective, and transparent manner, while complying with company policies, ethical standards, and project requirements. It also includes managing payments to the suppliers and subcontractors.
SCOPE	This procedure applies to all procurement activities undertaken by BHBI, including the purchase of materials, equipment, and services from external suppliers, and engaging subcontractors.

3. Responsibilities

- **Procurement:** Responsible for managing the overall procurement process, including sourcing, bidding, negotiating, and issuing purchase orders. Also responsible for managing relationships with suppliers and subcontractors and managing the payables to contractors.
- **Project Engineer:** Responsible for identifying project needs, providing technical specifications, reviewing and approving requisitions, and ensuring that procured items meet project requirements. Also responsible for making the requisition and serves as the overall head of the project.
- **Principal Designer:** Responsible for approving the technical aspects of procured materials and equipment during the design phase.
- **Quantity Surveyor:** Responsible for reviewing and validating the cost aspects of procurement, including verifying quantities, and ensuring alignment with project budgets.
- **Site Engineer:** Responsible for coordinating with Procurement and suppliers/subcontractors on delivery schedules, site logistics, and acceptance of materials and equipment on site. Also responsible for managing on-site warehousing activities.
- **Warehouseman:** Reports to the Site Engineer and is responsible for receiving, storing, and issuing materials in the warehouse (or on-site storage), and maintaining inventory records in QNE.
- **Office Engineer:** Responsible for receiving and processing approved Purchase Requisitions (PRs), encoding PRs into the QNE system, and for filing and documentation.

Flowchart



Procedure

1. Needs Identification and Requisition:

- **Identify Needs:** The Site Engineer, in coordination with the Project Engineer, identifies the need for materials, equipment, or services based on the project schedule, construction activities, and design specifications.
- **Prepare Requisition:** The Site Engineer prepares a hard copy Purchase Requisition (PR) Form, clearly specifying the required items, quantities, specifications, delivery dates, and project number.
    - **Deliverables:** Purchase Requisition (PR) Form
- **Technical Review:** The Project Engineer reviews the PR to ensure that the requested items are technically appropriate and meet project requirements.

- **Principal Designer Approval:** The Principal Designer approves the PR to ensure there are no discrepancies to the technical requirements of the design during the design phase.
- **Budget Verification:** The Quantity Surveyor reviews the PR to ensure that the requested items are within the approved project budget.
- **Approval:** The Project Engineer approves the PR, authorizing the Office Engineer to proceed with encoding the PR in QNE.

42. Purchase Requisition Processing and Encoding (QNE):

- **PR Submission:** The approved hard copy PR Form is submitted to the Office Engineer.
- **PR Encoding:** The Office Engineer accurately encodes the approved PR into the QNE system. This creates an electronic record of the requisition and initiates the procurement workflow within QNE.
    - **Deliverables:** Purchase Requisition (PR) in QNE
- **Verification:** The Office Engineer verifies that all information on the PR is correctly entered into QNE before submitting it for further processing.

3. Supplier and Contractor Selection:

- **Accreditation:** Procurement ensures that all potential suppliers and contractors have undergone the necessary accreditation process as defined in the **"Accreditation of Supplier and Contractor Procedure"**.
- **Supplier Sourcing:** Procurement identifies potential suppliers from BHBI's approved list (maintained through the accreditation procedure) and, if necessary, conducts market research to identify additional qualified suppliers.
- **Contractor Sourcing:** Procurement identifies potential contractors from BHBI's approved list (maintained through the accreditation procedure) and, if necessary, conducts market research to identify additional qualified contractors.
- **Request for Quotations (RFQs):** For significant purchases or when required by company policy, Procurement prepares and sends out RFQs to accredited suppliers, requesting quotations for the required items.
    - **Deliverables:** Request for Quotations (RFQs)
- **Bid Evaluation:** Procurement, in consultation with the Project Engineer and Quantity Surveyor, evaluates the received quotations based on price, quality, delivery time, supplier reputation, and other relevant criteria. (Refer to the *Bidding of Contractor* procedure for general bidding processes, adapting as needed for suppliers).
    - **Deliverables:** Bid Evaluation Report
- **Supplier/Contractor Selection:** Procurement, with the Project Engineer's approval, selects the most suitable supplier(s) based on the evaluation, ensuring they are on the approved list resulting from the accreditation process.
- **Contractor Engagement:** Follow the selection and engagement process as defined in *Bidding of the Contractor* and *Subcontractor Management* procedures.

4. Purchase Order (PO) Issuance:

- **PO Generation:** Procurement generates a Purchase Order (PO) in the QNE system, clearly specifying the items, quantities, prices, delivery dates, payment terms, and other relevant terms and conditions.
    - **Deliverables:** Purchase Order (PO) in QNE
- **PO Approval:** The Project Engineer approves the PO, confirming the purchase.
- **PO Issuance:** Procurement issues the approved PO to the selected supplier.

5. Expediting and Delivery:

- **Order Tracking:** Procurement tracks the status of orders and proactively follows up with suppliers to ensure timely delivery.
- **Delivery Coordination:** Procurement coordinates with the Site Engineer and suppliers to schedule deliveries to the project site or warehouse.
- **Receipt and Inspection:** Upon delivery, the Warehouseman or Site Engineer follows the *Material Receiving and Inspection* procedure to verify the delivery against the PO and inspect the items for quality and damage.

6. Subcontractor Engagement (if applicable):

- **Subcontractor Selection:** Procurement, in collaboration with the Project Engineer and Site Engineer, selects and prequalifies subcontractors based on project requirements. Follows the *Accreditation of Contractor* and *Bidding of Contractor* procedures.
- **Subcontract Agreement:** Procurement executes subcontract agreements with selected subcontractors, clearly defining the scope of work, schedule, payment terms, and other contractual obligations.
    - **Deliverables:** Signed Subcontract Agreements

7. Invoice Processing and Payment (Payables to Contractor):

- **Invoice Submission:** Suppliers and subcontractors submit invoices for goods delivered or services rendered.
    - **Deliverables:** Supplier/Subcontractor Invoices
- **Invoice Verification:** Procurement verifies invoices against corresponding Purchase Orders, delivery receipts, and subcontract agreements (if applicable) to ensure accuracy.
- **Approval:** The Project Engineer approves invoices for payment, confirming that the goods or services have been received and meet the required standards.
- **Payment Processing:** Procurement processes payments to suppliers and subcontractors according to the agreed payment terms, using the QNE system to record the transactions.
    - **Deliverables:** Payment Records in QNE

8. Documentation and Record Keeping:

- **Procurement Records:** Procurement maintains accurate records of all procurement activities, including requisitions, quotations, bid evaluations, purchase orders, delivery receipts, invoices, and payment records, using the QNE system and supplemented by physical files as needed.
    - **Deliverables:** Procurement Records in QNE
- **Filing:** The Office Engineer is responsible for filing and archiving all physical procurement documents.

9. Supplier and Subcontractor Performance Evaluation:

- **Performance Monitoring:** The Project Engineer and Site Engineer monitor the performance of suppliers and subcontractors throughout the project.
- **Evaluation:** Procurement, in consultation with the Project Engineer, conducts periodic performance evaluations of key suppliers and subcontractors, according to the **"Evaluation of Supplier and Contractor Procedure"**.

Continuous Improvement:

- Regularly review and update this procedure to incorporate lessons learned and improve the efficiency and effectiveness of the procurement process.

Records Generated (Deliverables)

- Purchase Requisition (PR)
- Request for Quotations (RFQs)
- Bid Evaluation Report
- Purchase Order (PO) in QNE
- Signed Subcontract Agreements
- Supplier/Subcontractor Invoices
- Payment Records in QNE
- Procurement Records in QNE
- Supplier/Subcontractor Performance Evaluation Reports

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